Larsen & Toubro

LT

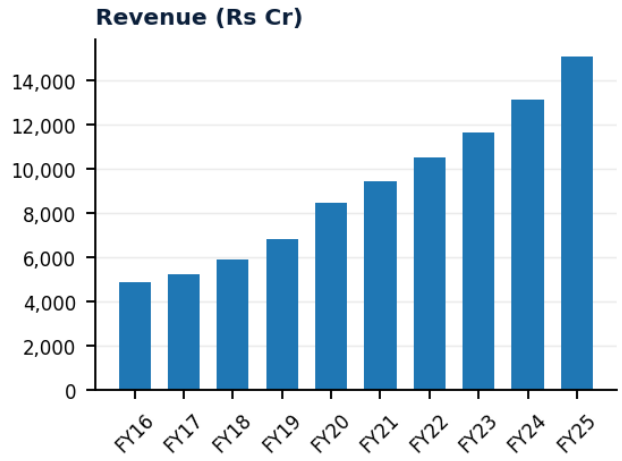
Sector: Cement & Construction

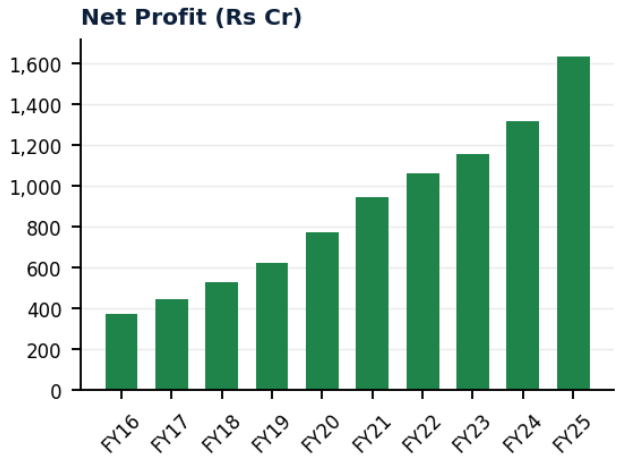
Key performance indicators (FY2025)

Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
15,104	1,636	17.3%

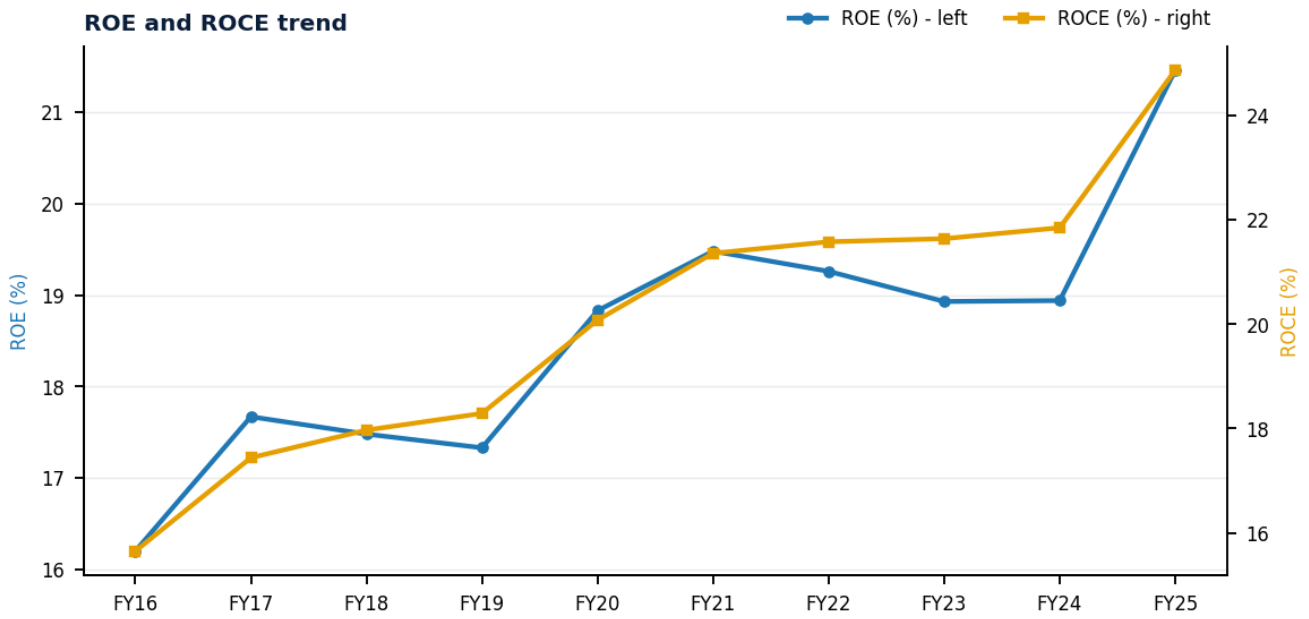
ROE (%)	ROCE (%)	Debt / Equity (x)
21.5%	24.9%	0.24x

10-year Revenue and Net Profit

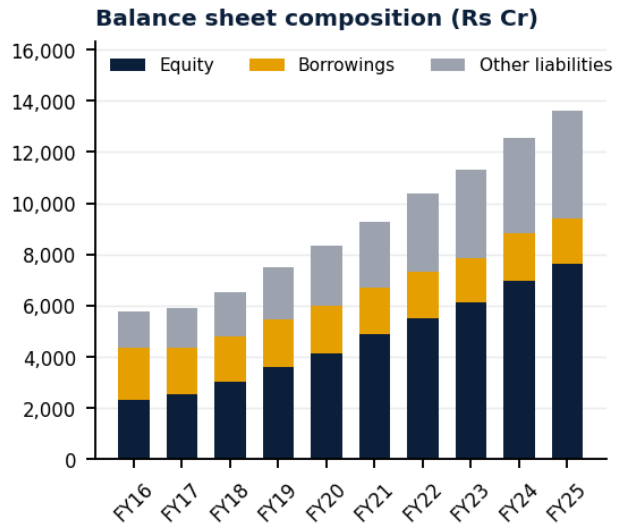


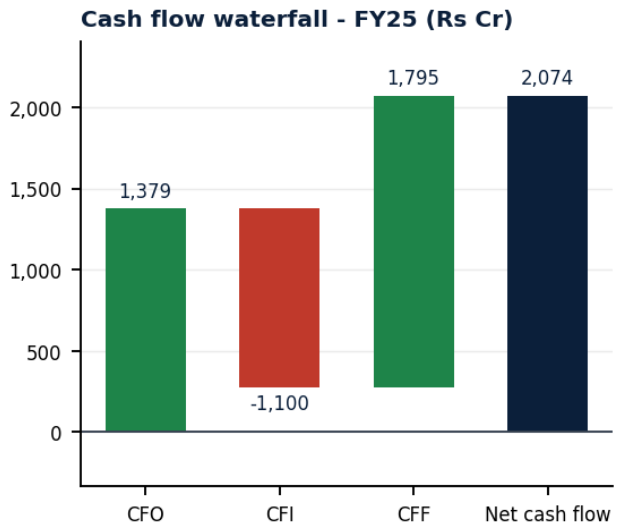


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Consistent dividend yield above 2% backed by positive free cash flow (88%)
- Strong free cash flow generation over 5 years signals healthy business fundamentals (86%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (70%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (67%)

Cons - what to watch

- 5-year revenue CAGR of 12.3% is the closest metric to the sector median of 11.0%, with no standout weakness (61%)

Capital allocation pattern (FY2025)

Aggressive Expander

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (1.30)	**Moderate (7.3%)**	**No**	**No**